

EXECUTIVE SUMMARY REPORT

National Retail Co.: Sales & Profitability Analysis

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1. PURPOSE

This report summarizes the key findings from the interactive Power BI dashboard built for National Retail Co. to help management monitor sales performance, profitability, customer behavior, and regional performance, and to support data-driven strategic decisions.

2. OVERVIEW OF PERFORMANCE

\$2.30M	\$286.4K	~5,000	\$458.61	12.47%
Total Sales	Total Profit	Total Orders	Avg. Order Value	Profit Margin

Between 2015 and 2018, the company generated \$2.30M in total sales and \$286.4K in total profit, across roughly 5,000 orders, with an average order value of \$458.61 and an overall profit margin of 12.47%. While overall performance is healthy, profitability varies significantly across product categories, regions, and customer segments, revealing both risks to manage and opportunities to pursue.

3. KEY FINDINGS

- ❖ **Furniture drives high sales but weak profit.** It generated \$741,999.80 in sales, almost matching Office Supplies, yet returned only \$18,451.30 in profit (about 2.5% margin), well below the company average.
- ❖ **Technology is the strongest profit contributor.** It generated over \$145,000 in profit, making it the most efficient category at converting sales into profit.
- ❖ **The West region leads in total sales**, followed by East, Central, and South, while Central shows a concerning loss of \$2,871 in its Furniture line.
- ❖ **The Consumer segment contributes roughly half of all revenue**, far more than Corporate (30.7%) or Home Office (18.7%), indicating reliance on individual buyers over business accounts.
- ❖ **Sales show a seasonal spike around September–October**, suggesting a predictable demand pattern the business could plan and prepare for.

4. BUSINESS RISKS

- ❖ **Furniture's thin margins** are quietly eroding overall profitability, and are already negative in the Central region.
- ❖ **Heavy reliance on the Consumer segment and the West/East regions** creates revenue concentration risk if either weakens.
- ❖ **A company-wide margin of 12.47%** leaves little room to absorb cost increases or aggressive discounting.

5. BUSINESS OPPORTUNITIES

- ❖ **Expand investment in Technology**, the most profitable category, to drive further profit growth.
- ❖ **Grow the Corporate and Home Office segments** to diversify revenue beyond individual Consumer buyers.
- ❖ **Prepare inventory and marketing ahead of the September–October seasonal peak** to capture additional demand.

6. RECOMMENDATIONS

- ❖ **Review Furniture's pricing and discounting strategy**, particularly in the Central region, and renegotiate supplier costs where possible.
- ❖ **Increase marketing and inventory investment in Technology** to build on its strong profitability.
- ❖ **Launch targeted acquisition campaigns** to grow Corporate and Home Office customer segments.
- ❖ **Build a seasonal readiness plan around the Sept–Oct sales peak** to make the most of predictable seasonal demand.
- ❖ **Study the factors behind the West region's strong performance** and apply them to lift the underperforming South region.

7. CONCLUSION

National Retail Co. is performing well overall, but profitability is uneven across categories and regions. By addressing Furniture's margin issue, doubling down on Technology, diversifying its customer base, and planning around seasonal demand, management can meaningfully improve both revenue and profit in the coming year.